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Title Forward of

California, Inc. v. Portugal, et al.,

Case No. 25PSCV01670

ORDER ON MOTION

FOR SUMMARY ADJUDICATION

Plaintiff Title Forward of

California, Inc.'s unopposed Motion for Summary Adjudication is GRANTED.

Background

Plaintiff Title Forward of California, Inc. ("Title Forward") alleges as follows:

On or about April 18, 1986, Joseph Morales ("J. Morales") and Carmella Morales ("C. Morales") purchased the property located at 2134 Evangelina Street in West Covina ("Property") as joint tenants. Marla Joy Portugal ("Portugal") and Ranee Marie Morales Axtell ("Axtell") are J. Morales and C. Morales' children. On or about April 27, 2012, J. Morales and C. Morales obtained a reverse mortgage loan in the original amount of \$532,500.00 ("Loan") and secured repayment of the same by the Property through a deed of trust recorded May 8, 2012 ("deed of trust"). J. Morales died in 2020.

On or about January 4, 2023, C. Morales created the Morales Revocable Living Trust of 2023 ("Trust"), wherein she was identified as settlor and trustee; the Trust provided that Portugal and Axtell were each entitled to a 50% distribution of the Trust proceeds upon C. Morales' death. On

or about January 12, 2023, C. Morales executed an Affidavit of Death of Joint Tenant, which was recorded March 2, 2023; that day, C. Morales also executed a grant deed conveying the Property from herself to the Trust and amended the Trust to name Portugal as successor trustee.

C. Morales died July 3, 2024. Portugal and Axtell agreed to sell the Property and split the net proceeds. The Trust entered into a purchase and sale agreement to sell the Property; Title Forward was retained as the title insurance issuing agent and was to receive payoff funds and make payoffs in a sub-escrow capacity.

During escrow, Title Forward received a payoff statement from escrow with instructions to pay off the Loan; Title Forward complied and made the payoff of the Loan in the amount of \$391,155.90.

The

sale of the Property closed on or about October 17, 2024. At the close of escrow, the Trust received net sales proceeds of \$377,934.00, which was distributed to Portugal and Axtell. Shortly after close of escrow, Title Forward learned that the lender on the Loan had not received the payoff funds; subsequent investigation revealed that the payoff it received was incorrect and pertained to a separate loan for separate real property and separate borrowers. Title Forward was able to recover the payoff funds in the amount of \$391,155.90 and have them applied to the Loan. The true payoff for the Loan, however, was \$504,114.75, leaving a shortfall of \$112,958.85. Although Title Forward notified Portugal and Axtell of the error and shortfall, Portugal and Axtell have refused to tender any portion of the \$112,958.85. On or about March 17, 2025, Title Forward issued payment to the lender of the Loan in order to have the deed of trust reconveyed and released as a lien against the Property.

On May 8, 2025, Title Forward filed a complaint, asserting causes of action against Portugal, individually and as successor trustee of the Trust, Axtell and Does 1-25 for: (1) Unjust Enrichment, (2) Money Had and Received, (3) Constructive Trust, (4) Accounting, and (5) Declaratory Relief.

On June 11, 2025, Portugal, individually and as successor trustee of the Trust, and Axtell filed a cross-complaint, asserting causes of action against Glen Oaks Escrow, Inc. ("Glen Oaks") for: (1) Negligence, (2) Negligent Misrepresentation, (3) Equitable Indemnity, and (4) Declaratory Relief.

On August 25, 2025, the Court sustained Glen Oaks' demurrer to the cross-complaint, without leave to amend.

On August 27, 2025, "Judgment of Dismissal as to Glen Oaks Escrow, Inc." was entered. On August 28, 2025, Glen Oaks filed (and electronically served) a "Notice of Entry of Judgment."

A Post-Mediation Status Conference/Case Management Conference is set for June 29, 2026.

Legal
Standard

The purpose of a motion for summary judgment or summary adjudication "is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) "Code of Civil Procedure section 437c, subdivision (c), requires the trial judge to grant summary judgment if all the evidence submitted, and all inferences reasonably deducible from the evidence and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119 [quotations omitted; emphasis theirs].)

"A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (Code Civ. Proc., § 437c, subd. (f)(1).) "A motion for summary adjudication may be made by itself or

as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment.” (Code Civ. Proc., § 437c, subd. (f)(2).)

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plaintiff or cross-complainant moving for summary judgment or summary adjudication “has met that party’s burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(1).)

Once

that burden has been met, “the burden shifts to the defendant or cross-defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Id.)

Discussion

Title Forward moves the Court, per Code of Civil

Procedure section 437c, for summary adjudication, as follows:

Issue No. 1: Title Forward is entitled to summary adjudication as to its first cause of action (i.e., for Unjust Enrichment).

Issue No. 2: Title Forward is entitled to summary adjudication as to its second cause of action (i.e., for Money Had and Received).

Issue No. 3: Title Forward is entitled to summary adjudication as to its third cause of action (i.e., for Constructive Trust).

Request
for Judicial Notice

The

Court rules on Plaintiff’s Request for Judicial Notice as follows: Granted as to Exhibit 1 (i.e., Grant Deed recorded October 23, 1986); Granted as to Exhibit 2 (i.e., Home Equity Conversion Second Deed of Trust recorded May 8,

2012); Granted as to Exhibit 3 (i.e., Affidavit of Death recorded March 2, 2023); Granted as to Exhibit 4 (i.e., Grant Deed recorded February 2, 2023); Granted as to Exhibit 5 (i.e., Affidavit of Death recorded October 17, 2024); Granted as to Exhibit 6 (i.e., Full Reconveyance recorded March 28, 2025); and Granted as to Exhibit 7 (i.e., “Order on Demurrer to Cross-Complaint” entered August 25, 2025).

On May

5, 2025, Plaintiff filed a complaint for Unjust Enrichment, Money Had and Received, Constructive Trust, Accounting, and Declaratory Relief against Portugal, individually and as successor trustee of the Trust, and Axtell.

“The elements for a claim of unjust enrichment are receipt of a benefit and unjust retention of the benefit at the expense of another.” (Lyles v. Sangadeo-Patel (2014) 225 Cal.App.4th 759, 769 [internal citation omitted].)

“A cause of action is stated for money had and received if the defendant is indebted to the plaintiff in a certain sum ‘for money had and received by the defendant for the use of the plaintiff.’” (Shultz v. Harney (1994) 27 Cal.App.4th 1611, 1623 [citation omitted].) “The plaintiff must prove that the defendant received money intended to be used for the benefit of the plaintiff, that the money was not used for the plaintiff’s benefit, and that the defendant has not given the money to the plaintiff.” (Camden Systems, LLC v. 409 North Camden, LLC (2024) 103 Cal.App.5th 1068, 1082).

“A constructive trust is an involuntary equitable trust created by operation of law as a remedy to compel the transfer of property from the person wrongfully holding it to the rightful owner. The essence of the theory of constructive trust is to prevent unjust enrichment and to prevent a person from taking advantage of his or her own wrongdoing.” (PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal.App.4th 384, 398 [emphasis added].) “[A] constructive trust may only be imposed where the following three conditions are satisfied: (1) the existence of a res (property or some interest in property); (2) the right of a complaining party to that res; and (3) some wrongful acquisition or detention of the res by another party who is not entitled to it.” (Communist Party v. 522 Valencia, Inc. (1995) 35 Cal.App.4th 980, 990 [emphasis theirs].) “The essence of

the constructive trust theory is to prevent unjust enrichment and to prevent a person from taking advantage of his own wrongdoing.” (Nevarez v. Nevarez (1962) 202 Cal.App.2d 596, 602.)

Plaintiff

has proffered the following evidence:

On

or about April 18, 1986, J. Morales and C. Morales purchased the property located at 2134 Evangelina Street in West Covina (“Property”) as joint tenants. (RJN, Exh. 1.) On April 27, 2012, J. Morales and C. Morales obtained a reverse mortgage loan in the original amount of \$532,500.00 (the “Reverse Mortgage Loan”) secured by the Property through a Deed of Trust recorded on May 8, 2012. (RJN, Exh. 2.) J. Morales died in 2020 and an Affidavit of Death was recorded on March 2, 2023. (RJN, Exh. 3.)

On

January 4, 2023, C. Morales created the Morales Revocable Living Trust (“Trust”), wherein she declared Defendants Portugal and Axtell as her only living issue, to be joint beneficiaries each entitled to a 50% distribution of the Trust proceeds upon her death. (LaBarre Decl., ¶ 6, Exh. 1.) On February 2, 2023, a Grant Deed was recorded, in which C. Morales conveyed the Property from herself as an individual, to herself as Trustee of the Trust. (RJN, Exh. 4.) On January 12, 2023, C. Morales also amended the Trust to provide that Portugal would be the successor trustee in the event of her death. (LaBarre Decl., ¶ 6, Exh. 1.) C. Morales died on July 3, 2024 and an Affidavit of Death of Trustee was recorded on October 17, 2024. (RJN, Exh. 5.) Portugal, as successor trustee, entered into an agreement in or about September 2024 to sell the Property for \$810,000.00. (Miller Decl., ¶¶ 3 and 6-8, Exhs. 1 and 3-5; Rowe Decl., ¶ 5.)

Escrow

for the sale was handled by Glen Oaks Escrow (“Escrow”); Title Forward was retained in October 2024 to act as sub-escrow agent and title insurance issuing agent. (Miller Decl., ¶ 9; Rowe Decl., ¶ 3.) On September 23, 2024, at 9:09 a.m., Escrow agent Melissa Miller emailed Portugal, attaching a payoff demand (“September 23, 2024 payoff statement”) from CompuLink, as servicer for the lender on the Reverse Mortgage Loan, the United States Department of Housing and Urban Development (“HUD”) (“CompuLink”). (Miller Decl., ¶ 7, Exh. 4.) The September 23, 2024 payoff statement reflected a payoff amount of \$504,114.75 for the Reverse Mortgage Loan as well as an estimated closing statement for the sale of

the Property showing net sale proceeds in the amount of \$269,851.39. (Id.)

On September 24, 2024, Portugal replied to this email stating, "Looks good.

Thank you." (Id., ¶ 8, Exh. 5.)

On

or about October 11, 2024, Title Forward received various closing documents from Escrow, including a grant deed, a new Deed of Trust, and a payoff statement for the Reverse Mortgage Loan. (Rowe Decl., ¶ 6.) The payoff statement dated October 4, 2024 ("October 4, 2024 payoff statement") provided from CompuLink, as servicer for the lender on the Reverse Mortgage Loan, the United States Department of Housing and Urban Development ("HUD"), reflected a payoff amount of \$391,536.70 good through October 25, 2024. (Miller, ¶¶ 11-12, Exh. 6; Rowe Decl., ¶ 6, Exh. 1.) The October 4, 2024 payoff statement pertained to a different real property, with a different loan and different borrowers than the September 23, 2024 payoff statement. (Id.) The October 4, 2024 payoff statement was forwarded to Title Forward. (Miller, ¶ 12; Rowe Decl., ¶ 6.)

On

or about October 15, 2024, Title Forward received closing funds wired from Escrow in the amount of \$563,650.35. (Rowe Decl., ¶ 7; Miller Decl., ¶ 13.) On October 17, 2024, Title Forward initiated a wire to CompuLink per the October 4, 2024 payoff statement in the amount of \$391,155.9, which went through that day. (Rowe Decl., ¶ 8.) Following the payoff, and after deducting other fees and costs for the transaction, Title Forward was left with the sum of \$163,530.55, which was returned to Escrow on or about October 17, 2024. (Miller Decl., ¶ 13; Rowe Decl., ¶ 9, Exh. 2.) On October 17, 2024, Escrow disbursed \$377,934.00 to Portugal as Trustee of the Trust, which included the \$163,530.55 received from Title Forward, as well as additional down payment funds that were provided by the buyer and retained in escrow. (Miller Decl., ¶¶ 3 and 14, Exh. 1; LaBarre Decl., ¶ 7, Exh. 2, Response to No. 41.) That day, Title Forward recorded all documents provided by Escrow and escrow closed. (Rowe Decl., ¶ 10.) Title Forward also issued two title insurance policies at the close of escrow, an owner's policy to the new buyers of the Property and a lender's policy to the buyer's lender, both of which insured the buyer's and lender's respective interests in the Property free and clear of the Reverse Mortgage Loan. (Rowe Decl., ¶ 10.) Portugal and Axtell each received \$180,000.00 as their 50% share of the Trust distribution. (LaBarre Decl., ¶¶ 6 and 7, Exh. 1, Response to No. 40 and Exh. 2, Responses to Nos. 42 and 43.)

On or about November 6, 2024, Title Forward received a call from a borrower inquiring as to why their loan was paid off; upon further investigation, Title Forward learned that the October 4, 2024 payoff statement provided by Escrow pertained to a different borrower and property than intended, and that its October 17, 2024 payoff had been applied to a completely different loan than the Reverse Mortgage Loan. (Rowe Decl., ¶ 11; Miller Decl., ¶ 15.) On November 12, 2024, Miller received a notification from HUD that the payoff funds were recovered and applied to the Reverse Mortgage Loan. (Miller Decl., ¶ 15, Exh. 7.) On November 13, 2024, Miller emailed Portugal, advised her of the error, and requested that she immediately return the \$112,958.85 which the Trust had mistakenly received to pay the funds still due to pay off the Reverse Mortgage Loan. (Miller Decl., ¶ 16, Exh. 8.) On November 14, 2024, Rowe sent Portugal a letter to this effect. (Rowe, ¶ 14, Exh. 4.) Portugal refused Miller's request and did not respond to Rowe's letter. (Miller Decl., ¶ 17; Rowe Decl., ¶ 14.) On March 17, 2025, Title Forward paid CompuLink \$116,404.17 to obtain a release of the Reverse Mortgage deed of trust. (Rowe Decl., ¶¶ 15 and 16, Exhs. 5 and 6.)

The Court determines that Title Forward has met its initial burden and that the burden has shifted to Portugal, individually and as successor trustee of the Trust, and Axtell to show the existence of a triable issue of material fact. They have failed to do so, however, inasmuch as they have not opposed the motion.

The motion is granted.